

Fulltech Fiber Glass (1815 TT)

Target price: **n.a.**Share price (21 Aug): **TWD112.00** | Up/downside: -

5 4 3 2 1

No Rating

Riding on product optimisation trend

- Rising LDK2 contribution on spec upgrades and capacity constraints
- E-glass price hikes continuing into 2H26
- Rising yarn utilisation on rising fabric shipments in China and Thailand

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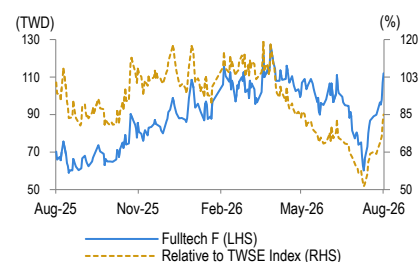
Background: Established in 1999, Fulltech Fiber Glass is a fibreglass yarn and fabrics vendor in Taiwan focusing on industrial and electronics applications. It has two yarn plants and one fabric plant in Taiwan and one fabric plant in mainland China. It is also ramping its capacity in Thailand on rising demand. Fulltech's specialty grade fibreglass (low dk1 [LDK1], low dk2 [LDK2] and low CTE) accounted for 55% of its 1H26 revenue, followed by E-glass (25%) and industrial-grade fibreglass yarn (20%).

Highlights: **New competition landscape driven by AI trend.** Fulltech believes the competition landscape for electronics-grade fibreglass yarn & fabric has been changed by rising AI server demand. Per Fulltech, end customers directly come to fibreglass vendors for qualification to reduce the supply chain risks and hence avoid the fierce pricing competition at the client side (eg, CCL vendors). Also, for high-quality fibreglass required by high-end applications, Fulltech still expects that its know-how in yarn will differentiate itself from other Chinese vendors. Recently, Fulltech confirmed that some CSPs will use its LDK2 for next-generation ASIC products and its low CTE yarn has acquired certification from Japanese and overseas clients; it says that it is working on qualifications for low-CTE fabric as well.

Product optimisation trend. Fulltech will gradually shift its Taiwan capacity from LDK1 to LDK2. Per management, they have c.10% LDK2 shipment from total LDK1+2 shipments in 2025. This number increased to 20% in 1H26 and is expected to reach 40%/50% in 3Q26/4Q26 on rising AI demand and continuous spec upgrades. Fulltech also plans to gradually shift its China plants from E-glass to LDK from 2027. Per management, the price of LDK2 fabric is 2.5x higher than LDK1 and LDK1 is 5x higher than E-glass; this will be a key growth revenue and gross margin driver. In addition, they expect E-glass fabric in China will also enjoy a double-digit quarterly price hike in 2H26 given current supply/demand dynamics, which will trigger GM to expand from 33% in 2Q26 to c.40% in 3Q26; per mgmt., this will be the second growth driver. Given the current key bottleneck is in fabric capacity, Fulltech announced in February 2026 the intention to invest TWD3.1bn to expand a new plant in Thailand, which could gradually enter mass production in 2H27; half of its capacity will focus on LDK and the other half will focus on E-glass and aim for LEO products. Fulltech believes it may increase the utilisation rate (UTR) of its yarn plants from 75% in 1H26 given yield rate improvement and the rising demand from Thailand and China plants. Per management, its gross margin diluted c.5-10pp in 1H26 and it will improve by 2-3pp if UTR improves 10% to 85% in 2H26.

Valuation: The stock is trading at 24/15x PERs for 2026/2027E, based on Bloomberg consensus (vs. its 1-year-trading range of 11-22x).

Share price performance



12-month range	59.08-127.00
Market cap (USDbn)	2.05
3m avg daily turnover (USDm)	81.66

Source: FactSet, Daiwa forecasts

Fulltech: quarterly and yearly P&L sheet

	2024				2025				2026		2024	2025	1H26
(TWDm)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q			
Net revenue	763	1,079	1,118	1,287	1,383	1,422	1,533	1,637	1,881	2,131	4,247	5,975	4,013
COGS	(765)	(962)	(920)	(986)	(972)	(1,073)	(1,121)	(1,162)	(1,205)	(1,279)	(3,633)	(4,328)	(2,484)
Gross profit	(2)	117	198	301	411	349	412	475	677	852	614	1,647	1,528
Operating expenses	(120)	(128)	(135)	(140)	(139)	(147)	(153)	(276)	(275)	(304)	(524)	(714)	(579)
Operating profit	(122)	(11)	62	161	272	202	259	199	402	548	90	933	950
Non-operating profit	34	7	(74)	(2)	(52)	(241)	82	315	141	408	(35)	103	549
Pre-tax profit	(88)	(4)	(12)	159	220	(39)	341	514	543	955	55	1,035	1,498
Income taxes	27	2	(1)	(20)	(49)	6	(58)	(78)	(85)	(113)	8	(179)	(198)
Net profit	(61)	(2)	(13)	139	171	(34)	283	436	458	843	63	857	1,300
Net EPS (TWD)	-0.13	-0.01	-0.03	0.27	0.33	-0.06	0.54	0.75	0.78	1.44	0.12	1.46	2.22

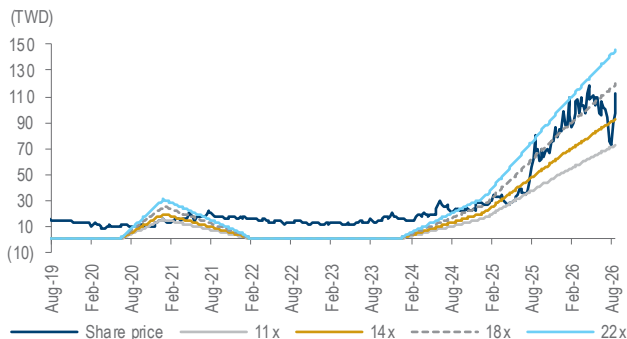
Operating Ratios													
Gross margin	-0.2%	10.9%	17.7%	23.4%	29.7%	24.5%	26.9%	29.0%	36.0%	40.0%	14.5%	27.6%	38.1%
Operating margin	-16.0%	-1.0%	5.6%	12.5%	19.7%	14.2%	16.9%	12.2%	21.4%	25.7%	2.1%	15.6%	23.7%
Pre-tax margin	-11.5%	-0.4%	-1.1%	12.4%	15.9%	-2.8%	22.2%	31.4%	28.9%	44.8%	1.3%	17.3%	37.3%
Net margin	-8.0%	-0.2%	-1.2%	10.8%	12.4%	-2.4%	18.5%	26.6%	24.3%	39.5%	1.5%	14.3%	32.4%

YoY (%)													
Net revenue	-19%	39%	44%	81%	81%	32%	37%	27%	36%	50%	33%	41%	43%
Gross profit	n.m.	n.m.	n.m.	n.m.	n.m.	198%	108%	58%	65%	144%	n.m.	168%	101%
Operating profit	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	315%	24%	48%	171%	n.m.	934%	100%
Pre-tax profit	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	223%	147%	n.m.	n.m.	1,771%	730%
Net profit	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	212%	167%	n.m.	n.m.	1,262%	844%

QoQ (%)													
Net revenue	8%	41%	4%	15%	7%	3%	8%	7%	15%	13%			
Gross profit	n.m.	n.m.	69%	52%	37%	-15%	18%	15%	42%	26%			
Operating profit	n.m.	n.m.	n.m.	158%	69%	-26%	28%	-23%	102%	36%			
Pre-tax profit	n.m.	n.m.	n.m.	n.m.	38%	n.m.	n.m.	51%	6%	76%			
Net profit	n.m.	n.m.	n.m.	n.m.	23%	n.m.	n.m.	54%	5%	84%			

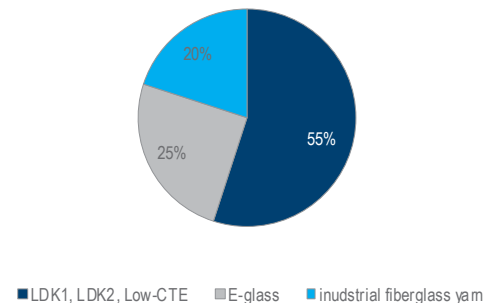
Source: Company

Fulltech: 1-year-forward PER band



Source: TEJ; Bloomberg

Fulltech: 1H26 product mix by fibreglass grade



Source: Company

Fulltech: product line

Type of fiberglass		Glass Yarn	Glass Fabric	Applications in electronics	Applications in industrial fields
E-glass	Thick Yarns/Thick Fabrics	G75/G67	7628/7630		
	Fine Yarns/Thick Fabrics	E110/E225	1506/2116/2113/2313	Automotive, Computers, Tablets, Server, Communications, Wearable Devices Low Earth Orbit Satellites, Smartphones, IC Substrate	Construction, Aerospace, Fireproofing, Thermal Insulation, Filtering, Medical Use+
		DE300	3313		
		D450	1080/1078/1086		
Low Dk/Df (High Frequency/High Speed Applications)	Ultra Fine Yarns/Ultra Thin Fabrics	C1200	1037	High Frequency High Speed, Low Loss, High-End Server, High-End Storage Devices, High-End Switch, 5G Communication, High-End Automotive, Low Earth Orbit Satellites, High-End Server, High-End Switch	
		BC1500	1027		
		BC2250	1015		
		BC3000	1017		
Low CTE (Low coefficient of Thermal Expansion)		BC3750	1010	Communication, Memories, IC Substrate of High-End Server	
	FLD1				
	FLD2				
	FLE				

Source: Company

Fulltech: global capacity by region

Plants	Taiwan		China		Thailand
	Fiberglass Yarn #1	Fiberglass Fabric #2	Fiberglass Fabric #1	Fiberglass Fabric #2	Planning
	Douliu, Yunlin County	Huwei, Yunlin County	Douliu, Yunlin County	Liaobu, Dongguan City	Chachoengsao Province

Source: Company

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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